

financial capacity to pay off this debt, the result may be that you are forced to cut back on your course work in order to increase your time on paid jobs. In the worst-case scenario, you may have to drop out of college and work full-time. A University of Indiana administrator was reputed to have said, “We lose more students to credit card debt than to academic failure.”

Since credit reports are becoming a standard hiring practice for many firms, bad credit may even hinder your employability after graduation. Finally, the psychological problems can leave a lasting legacy. If you have filed bankruptcy, you may consider yourself a failure and have a difficult time rebuilding your self-esteem. Dealing with debt collectors can, at the minimum, be anxiety provoking. The accompanying stress can make it difficult to concentrate on studying and your grades may suffer.

The consequences of accumulating excessive debt are not inevitable. Even though easy access to credit may be very tempting, it still is possible to learn how to manage debt while in college or after graduation.

This chapter will illustrate the following common money management situations experienced by college students:

- Easy access to credit
- Becoming overextended on credit cards
- Dealing with parental reaction to money problems
- Using student loans and scholarships to finance non-school expenses
- Peer pressure to spend
- Risky stock trading
- Online gambling
- Dropping out of school

